LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

NINE MONTH PERIOD ENDED 31 DECEMBER 2015

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the nine month period ended 31 December 2015

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Lanka Orix Leasing Company PLC
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-15	**31-Mar-15**	*As at*	**31-Dec-15**	**31-Dec-14**	**31-Dec-15**	**31-Dec-14**
Rs.' 000	**Rs.' 000**		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Restated	**Audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
				Restated		
		Assets				
7,934,390	229,710	Cash and cash equivalents	11,513,817	5,770,004	544,136	60,956
1,106,441	514,556	Trading assets - fair value through profit or loss	1,557,498	940,727	523,384	583,877
18,302,263	681,970	Investment securities	23,562,469	18,344,155	862,490	711,117
41,335,375	1,684	Finance lease receivables, hire purchases and operating leases	51,753,199	42,145,644	-	-
98,525,051	1,310,259	Advances and other loans	145,498,706	85,555,377	803,223	1,286,721
602,099	-	Insurance premium receivables	484,879	415,271	-	-
1,833,672	10,250	Inventories	3,893,762	1,127,780	728,807	37,623
1,183,563	213,429	Current tax assets	321,621	285,365	222,247	193,026
9,103,067	5,526,203	Trade and other current assets	10,304,429	9,492,463	22,925,084	5,320,375
342,816	-	Prepaid lease rentals on leasehold properties	706,813	113,256	-	-
8,807,369	344,000	Investment properties	8,899,474	7,365,363	344,000	331,500
-	-	Real estate stocks	-	-	-	-
		Biological Assets;				
6,383,655	-	Consumer biological assets	6,322,038	-	-	-
4,373,034	-	Bearer plants	4,484,387	-	-	-
		Investments in group companies;				
-	42,126,050	Subsidiary companies	-	-	42,315,931	33,290,562
-	-	Jointly controlled entities	-	1,530,703	-	14,298
15,067,850	7,650,205	Equity accounted investees - Associates	16,660,270	14,733,742	7,816,377	7,535,124
516,785	61,120	Deferred tax assets	429,184	387,318	84,030	81,272
2,251,313	140,021	Intangible assets	2,180,873	2,227,291	127,438	134,417
26,964,198	3,799,803	Property, plant and equipment	28,840,059	23,667,984	4,074,784	3,621,133
244,632,941	**62,609,260**	**Total assets**	**317,413,478**	**214,102,443**	**81,371,931**	**53,202,001**
		Liabilities and equity				
		Liabilities				
6,118,548	354,777	Bank overdrafts	10,323,173	3,418,942	3,360,221	333,477
501,490	1,203	Trading liabilities - fair value through profit or loss	71,533	304,420	58	371
50,587,239	-	Deposits liabilities	71,238,366	53,325,928	-	-
113,113,592	24,661,179	Interest bearing borrowings	148,501,959	93,953,149	41,144,580	17,600,659
774,865	-	Insurance provision - life	1,406,569	521,580	-	-
1,595,644	-	Insurance provision - general	1,957,027	1,339,502	-	-
1,635,727	193,901	Current tax payables	2,223,235	1,658,356	24,375	-
8,074,796	2,327,317	Trade and other payables	12,996,117	9,695,901	1,428,885	491,309
3,246,631	-	Deferred tax liabilities	3,160,975	2,316,258	88,554	88,554
617,975	-	Deferred income	688,141	35,847	-	-
2,518,644	174,515	Retirement benefit obligations	2,456,717	391,017	192,707	153,431
188,785,151	**27,712,892**	**Total liabilities**	**255,023,812**	**166,960,900**	**46,239,380**	**18,667,801**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
5,304,386	1,772,798	Reserves	5,389,432	5,667,199	1,840,177	1,835,442
22,628,495	32,648,370	Retained earnings	29,700,297	20,873,673	32,817,174	32,223,558
28,408,081	**34,896,368**	**Equity attributable to shareholders of the Company**	**35,564,929**	**27,016,072**	**35,132,551**	**34,534,200**
27,439,709	**-**	**Non-controlling interests**	**26,824,737**	**20,125,471**	**-**	**-**
55,847,790	**34,896,368**	**Total equity**	**62,389,666**	**47,141,543**	**35,132,551**	**34,534,200**
244,632,941	**62,609,260**	**Total liabilities & equity**	**317,413,478**	**214,102,443**	**81,371,931**	**53,202,001**
59.78	**73.44**	**Net assets per share (Rs.)**	**74.84**	**56.85**	**73.93**	**72.67**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mrs. K U Amarasinghe
Director
15th February 2016, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Group					
	Three Months Ended			Nine Months Ended		
	31-Dec-15 Rs.' 000	31-Dec-14 Rs.' 000 Restated	Variance %	31-Dec-15 Rs.' 000	31-Dec-14 Rs.' 000 Restated	Variance %
Gross income	**16,571,252**	**10,917,161**	**52**	**47,370,090**	**30,882,964**	**53**
Interest income	10,048,415	7,901,399	27	27,558,455	20,029,802	38
Interest expense	(4,059,271)	(2,923,589)	39	(12,379,914)	(9,077,605)	36
Net interest income	**5,989,144**	**4,977,810**	**20**	**15,178,541**	**10,952,197**	**39**
Revenue	5,351,834	2,928,167	83	14,605,802	7,733,698	89
Cost of sales	(3,662,953)	(2,004,297)	83	(9,863,192)	(5,394,778)	83
Gross profit	**1,688,881**	**923,870**	**83**	**4,742,610**	**2,338,920**	**103**
Income	1,975,321	945,036	109	5,499,605	3,318,351	66
Other income/(expenses) (Including net finance cost)	(804,318)	(857,441)	(6)	(293,772)	(198,887)	48
Profit before operating expenses	**8,849,028**	**5,989,275**	**48**	**25,126,984**	**16,410,581**	**53**
Operating expenses						
Direct expenses excluding finance costs	(981,888)	(691,814)	42	(2,863,403)	(1,890,537)	51
Personnel costs	(2,147,359)	(1,282,545)	67	(6,323,939)	(3,260,395)	94
Net impairment (loss) / reversal on financial assets	(836,108)	(749,176)	12	(2,176,982)	(2,427,154)	(10)
Depreciation and amortization	(417,047)	(278,678)	50	(1,070,787)	(725,470)	48
Other operating expenses	(2,062,799)	(1,061,909)	94	(5,670,796)	(3,522,770)	61
Results from operating activities	**2,403,827**	**1,925,153**	**25**	**7,021,077**	**4,584,255**	**53**
Share of profits of equity accounted investees	1,050,163	546,866	92	2,306,809	1,595,565	45
Profit before income tax expense	**3,453,990**	**2,472,019**	**40**	**9,327,886**	**6,179,820**	**51**
Income tax expense	(779,153)	(811,784)	(4)	(2,192,808)	(1,714,047)	28
Profit for the period	**2,674,837**	**1,660,235**	**61**	**7,135,078**	**4,465,773**	**60**
Profit attributable to;						
Equity holders of the Company	2,214,016	1,383,382	60	6,224,257	3,895,751	60
Non-controlling interests	460,821	276,853	66	910,821	570,022	60
	2,674,837	**1,660,235**	**61**	**7,135,078**	**4,465,773**	**60**
Basic earnings per share (Rs.)	**4.66**	**2.91**	**60**	**13.10**	**8.20**	**60**

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

	Group					
	Three Months Ended			Nine Months Ended		
	31-Dec-15 Rs.' 000	31-Dec-14 Rs.' 000	Variance %	31-Dec-15 Rs.' 000	31-Dec-14 Rs.' 000	Variance %
Profit for the period	**2,674,837**	**1,660,235**	**61**	**7,135,078**	**4,465,773**	**60**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(17,224)	(10,160)	70	(20,788)	426,673	(105)
Net movement of cash flow hedges	33,629	37,456	(10)	115,378	41,122	181
Effect on translation differences for foreign operations	137,191	255,595	(46)	329,745	101,790	224
Defined benefit plan actuarial gains / (losses)	-	(2,135)	(100)	-	(2,135)	(100)
Other comprehensive income/ (expense) for the year, net of tax	**153,596**	**280,756**	**(45)**	**424,335**	**567,450**	**(25)**
Total comprehensive income / (expense) for the perio	**2,828,433**	**1,940,991**	**46**	**7,559,413**	**5,033,223**	**50**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	2,299,328	1,589,388	45	6,509,827	4,458,851	46
Non-controlling interests	529,105	351,603	50	1,049,586	574,372	83
Total comprehensive income / (expense) for the perio	**2,828,433**	**1,940,991**	**46**	**7,559,413**	**5,033,223**	**50**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Company					
	Three Months Ended			Nine Months Ended		
	31-Dec-15 Rs.' 000	31-Dec-14 Rs.' 000	Variance %	31-Dec-15 Rs.' 000	31-Dec-14 Rs.' 000	Variance %
Gross income	**1,111,223**	**622,202**	**79**	**2,977,500**	**1,853,626**	**61**
Interest income	553,120	245,682	125	1,316,406	682,374	93
Interest expense	(855,972)	(390,464)	119	(2,218,897)	(1,192,429)	86
Net interest income	**(302,852)**	**(144,782)**	**244**	**(902,491)**	**(510,055)**	**179**
Income	44,259	10,581	318	61,270	48,668	26
Other income/(expenses)	513,844	365,939	40	1,599,824	1,122,584	43
Profit before operating expenses	**255,251**	**231,738**	**10**	**758,603**	**661,197**	**15**
Operating expenses						
Direct expenses excluding finance costs	(37,745)	(4,846)	679	(53,714)	(15,401)	249
Personnel costs	(35,069)	(41,638)	(16)	(103,005)	(92,912)	11
Net impairment (loss) / reversal on financial assets	16	784	(98)	(387)	(2,956)	(87)
Depreciation and amortization	(82,570)	(72,754)	13	(228,374)	(234,982)	(3)
Other operating expenses	3,950	(89,534)	(104)	(138,673)	(225,025)	(38)
Profit before income tax expense	**103,833**	**23,750**	**337**	**234,450**	**89,921**	**161**
Income tax expense	(65,646)	(11,178)	-	(65,646)	(11,178)	487
Profit for the period	**38,187**	**12,572**	**204**	**168,804**	**78,743**	**114**
Profit attributable to;						
Equity holders of the Company	38,187	12,572	204	168,804	78,743	114
	38,187	**12,572**	**204**	**168,804**	**78,743**	**114**
Basic earnings per share (Rs.)	**0.08**	**0.03**	**204**	**0.36**	**0.17**	**114**

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

	Company					
	Three Months Ended			Nine Months Ended		
	31-Dec-15 Rs.' 000	31-Dec-14 Rs.' 000	Variance %	31-Dec-15 Rs.' 000	31-Dec-14 Rs.' 000	Variance %
Profit for the period	**38,187**	**12,572**	**204**	**168,804**	**78,743**	**114**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	10,679	28,154	(62)	68,925	326,180	(79)
Net movement of cash flow hedges	-	-	-	(1,546)	-	-
Other comprehensive income/ (expense) for the year, net of tax	**10,679**	**28,154**	**(62)**	**67,379**	**326,180**	**(79)**
Total comprehensive income / (expense) for the period	**48,866**	**40,726**	**20**	**236,183**	**404,923**	**(42)**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	48,866	40,726	20	236,183	404,923	(42)
Total comprehensive income / (expense) for the period	**48,866**	**40,726**	**20**	**236,183**	**404,923**	**(42)**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the nine month period ended 31 December 2015

Company	Equity attibutable to the shareholders of the Company						
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Future Taxation Reserve	Retained Earnings	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2014 (Restated)	**475,200**	**1,300,116**	**4,146**	**-**	**205,000**	**32,144,815**	**34,129,277**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	78,743	**78,743**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	326,180	-	-	**326,180**
Total comprehensive income for the period	-	-	-	326,180	-	78,743	**404,923**
Balance as at 31 December 2014	**475,200**	**1,300,116**	**4,146**	**326,180**	**205,000**	**32,223,558**	**34,534,200**
Balance as at 01 April 2015	**475,200**	**1,300,116**	**719**	**266,963**	**205,000**	**32,648,370**	**34,896,368**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	168,804	**168,804**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	68,925	-	-	**68,925**
Net movement of cash flow hedges	-	-	(1,546)	-	-	-	**(1,546)**
Total comprehensive income for the period	**-**	**-**	**(1,546)**	**68,925**	**-**	**168,804**	**236,183**
Balance as at 31 December 2015	**475,200**	**1,300,116**	**(827)**	**335,888**	**205,000**	**32,817,174**	**35,132,551**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the nine month period ended 31 December 2015

Group	Equity Attributable to the Owners of the Company											
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2014 (Restated)	**475,200**	**2,752,543**	**28,394**	**167,018**	**161,493**	**205,000**	**1,290,782**	**752,675**	**16,756,512**	**22,902,117**	**17,378,373**	**40,280,490**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	3,895,751	**3,895,751**	570,022	**4,465,773**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	439,206	-	-	-	-	-	**439,206**	(12,533)	**426,673**
Net movement of cash flow hedges	-	-	102,878	-	-	-	-	-	-	**102,878**	(1,088)	**101,790**
Effect on translation differences for foreign operations	-	-	-	-	23,151	-	-	-	-	**23,151**	17,971	**41,122**
Defined benefit plan actuarial gains / (losses)	-	-	-	-	-	-	-	-	(2,135)	**(2,135)**	-	**(2,135)**
Total comprehensive income for the period	**-**	**-**	**102,878**	**439,206**	**23,151**	**-**	**-**	**-**	**3,893,616**	**4,458,851**	**574,372**	**5,033,223**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(150,240)	**(150,240)**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	1,319,932	**1,319,932**
Adjustments due to changes in group holdings and other consolidation adjustments	-		-	-	-	-	-	-	(27,694)	**(27,694)**	(14,495)	**(42,189)**
Depreciation transfer on revaluation	-	(1,572)	-	-	-	-	-	-	1,572	**-**	-	**-**
Share issue of subsidiaries	-	-	-	-	-	-		-	-	**-**	1,028,835	**1,028,835**
Share issue expenses	-	-	-	-	-	-	-		(4,702)	**(4,702)**	(11,306)	**(16,008)**
Transfers to investment fund	-	-	-	-	-	-	-	(254,369)	254,369	**-**	-	**-**
Balance as at 31 December 2014	**475,200**	**2,750,971**	**131,272**	**606,224**	**184,644**	**205,000**	**1,290,782**	**498,306**	**20,873,673**	**27,328,572**	**20,125,471**	**47,454,043**
Balance as at 01 April 2015	**475,200**	**2,932,414**	**(102,894)**	**244,963**	**327,120**	**205,000**	**1,697,783**	**-**	**22,628,495**	**28,408,081**	**27,439,709**	**55,847,790**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	6,224,257	**6,224,257**	910,821	**7,135,078**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	(14,542)	-	-	-	-	-	**(14,542)**	(6,246)	**(20,788)**
Net movement of cash flow hedges	-	-	128,479	-	-	-	-	-	-	**128,479**	(13,101)	**115,378**
Effect on translation differences for foreign operations	-	-	-	-	171,633	-	-	-	-	**171,633**	158,112	**329,745**
Total comprehensive income for the period	**-**	**-**	**128,479**	**(14,542)**	**171,633**	**-**	**-**	**-**	**6,224,257**	**6,509,827**	**1,049,586**	**7,559,413**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(186,734)	**(186,734)**
Dividend forfieted	-	-	-	-	-	-	-	-	3,676	**3,676**	33	**3,709**
Acquisition of non-controlling interests / NCI contributions	-	-	-	-	-	-	-	-	-	**-**	601,257	**601,257**
Adjustments due to changes in group holdings and other consolidation adjustments	-	-	-	-	-	-	-	-	643,345	**643,345**	(2,079,114)	**(1,435,769)**
Transfers	-	(240)	-	-	-	-	(200,284)	-	200,524	**-**	-	**-**
Balance as at 31 December 2015	**475,200**	**2,932,174**	**25,585**	**230,421**	**498,753**	**205,000**	**1,497,499**	**-**	**29,700,297**	**35,564,929**	**26,824,737**	**62,389,666**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the nine months ended 31 December	Group 2015 Rs.' 000	Group 2014 Rs.' 000	Company 2015 Rs.' 000	Company 2014 Rs.' 000
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	9,327,886	6,179,820	234,450	89,921
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(121,252)	(12,705)	(113,351)	(17,887)
Depreciation and amortization	1,070,787	725,470	228,374	234,982
Insurance provision	993,087	340,605	-	-
Change in fair value of forward contracts	(91,616)	(4,970)	-	-
Provision for gratuity	142,393	45,307	22,500	10,511
Net impairment (loss) / reversal on financial assets	2,176,982	2,427,154	387	2,956
Provision for fall/(increase) in value of investments	(24,601)	(184,050)	(14,855)	(141,376)
Finance costs	13,466,277	9,946,246	2,218,897	1,192,429
Interest income	(1,279,560)	(1,168,837)	(109,309)	(19,999)
(Profit)/loss on sale of quoted and non-quoted shares	(9,056)	(169,950)	1,654	50,003
Share of profits of equity accounted investees	(2,306,809)	(1,595,565)	-	-
Fair value gain on previously held interest in BRAC	-	(15,589)	-	-
Loss on disposal of subsidiaires	4,865	-	-	-
Gain on disposal of associates	(144,423)	-	-	-
Operating profit before working capital changes	**23,204,960**	**16,512,936**	**2,468,747**	**1,401,540**
Working capital changes				
Increase/(decrease) in trade and other payables	4,982,981	5,288,615	(1,061,909)	(4,995)
(Increase)/decrease in investment in leases, hire purchase and others	(11,141,693)	(7,125,294)	-	-
(Increase)/decrease in investment in advances and other loans	(48,426,769)	(17,875,684)	438,772	109,775
(Increase)/decrease in premium receivables	117,220	34,318	-	-
(Increase)/decrease in inventories	(2,060,090)	740,846	(718,557)	6,812
(Increase)/decrease in trade and other receivables	(263,801)	(2,218,539)	(17,371,049)	(2,493,762)
(Increase)/decrease in customer deposits	20,651,127	3,504,730	-	-
Cash generated from operations	**(12,936,065)**	**(1,138,072)**	**(16,243,996)**	**(980,630)**
Finance cost paid	(10,287,165)	(9,016,888)	(2,179,428)	(1,303,985)
Income tax and Economic Service Charge paid	(1,101,099)	(778,713)	(1,525)	(2,838)
Defined benefit plan costs paid	(203,425)	(18,833)	(4,308)	(6,192)
Net cash from/(used in) operating activities	**(24,527,754)**	**(10,952,506)**	**(18,429,257)**	**(2,293,645)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(200,003)	(665,584)
Net cash and cash equivalents on acquisition of subsidiary	(397,732)	(1,652,048)	-	-
Net cash and cash equivalents received on disposal of subsidiary	4,740	-	-	-
Investment in equity accounted investees	(276,534)	(48,565)	(166,172)	-
Proceeds from disposal of equity accounted investees	1,103,230	-	-	(525,874)
Acquisition of non-controlling interests	(1,408,734)	-	-	-
Acquisition of property, plant and equipment and leasehold rights	(3,161,349)	(2,567,091)	(559,647)	(255,462)
Acquisition / (Disposal) of intangible assets	(9,428)	(8,770)	-	-
Net additions to trading assets	(417,400)	147,296	4,759	-
Net additions to investment securities	(5,280,994)	(709,130)	(111,595)	(25,616)
Proceeds from the sale of property, plant and equipment	212,076	38,424	179,390	24,819
Interest received	1,279,560	1,132,506	-	1,504
Dividend received	126,102	36,331	109,309	18,495
Net additions to biological assets	(136,318)	-	-	-
Net cash flow from investing activities	**(8,362,781)**	**(3,631,047)**	**(743,959)**	**(1,427,718)**
CASH FLOW FROM FINANCING ACTIVITIES				
Proceeds from interest bearing borrowings	43,581,158	27,770,740	18,683,371	8,153,510
Repayments of long-term interest bearing loans and borrowings	(11,374,087)	(14,052,906)	(2,201,173)	(4,399,184)
Dividends paid to non-controlling interests	(186,734)	(150,240)	-	-
NCI contributions to share issue of subsidiairies	245,000	1,028,835	-	-
Share issue expenses	-	(16,008)	-	-
Net cash generated from financing activities	**32,265,337**	**14,580,421**	**16,482,198**	**3,754,326**
Net increase/(decrease) in cash and cash equivalents during the year	(625,198)	(3,132)	(2,691,018)	32,963
Cash and cash equivalents at the beginning of the year	1,815,842	2,354,194	(125,067)	(305,484)
Cash and cash equivalents at the end of the year	**1,190,644**	**2,351,062**	**(2,816,085)**	**(272,521)**
Analysis of cash and cash equivalents at the end of the year				
Cash in Hand and Favorable Bank Balances	11,513,817	5,770,004	544,136	60,956
Unfavorable Bank Balances used for cash management purposes	(10,323,173)	(3,418,942)	(3,360,221)	(333,477)
	1,190,644	**2,351,062**	**(2,816,085)**	**(272,521)**

1 The Statement of Financial Position as at 31 December 2015, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the nine month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries, equity accounted investees (associates) and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies, judgement, estimates and methods of computation as stated in the Annual Report for 2014/15 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2015

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.

9 **Acquisition of Subsidiairies**

In October 2015, Browns Capital PLC, a subsidiary of the Group acquired controlling stake (50.1%) of Saga Solar Power (Private) Limited (SSP) for a consideration of Rs. 407 Mn. SSP is to engage in to 10 MW solar power project at Baruthakanda in Hambantota.

The provisional fair values of the identifiable assets and liabilities of acquirees (based on un-audited financial statements) as at the date of acquisition were;

	Rs. '000
Assets	
Cash and cash equivalents	9,332
Investment securities	580,000
Trade and other current assets	10,915
Property, plant and equipment	161,821
	762,068
Liabilities	
Trade and other payables	1,426
Borrowings	2,184
	3,610
Equity	
Stated capital	772,654
Retained earnings	(14,196)
	758,458

Results of the acquisitions of the above subsidiary is as follows;

	Rs. '000
Fair value of consideration paid	407,064
Effect on NCI due to acquisition	356,257
	763,321
Fair value of Identifiable net assets acquired	758,458
Resulting goodwill / (gain on bargain purchase)	**4,863**

10 Disposal of Equity Accounted Investees

Subsequent to the reporting date, the Group divested its 20% stake in Taprobane Holdings PLC (TAP) at a of value Rs. 5.50 per share accepting the mandatory offer made by the major shareholder.

The results of the disposal shown below;

	Rs. '000
Consideration received	1,103,230
Less - Carrying amount at the point of disposal	(958,807)
Gain on disposal	**144,423**

11 Market prices of ordinary shares recorded during the quarter ended 31st December 2015 are as follows;

	Rs.
Closing price	94.00
Highest Price (05 October 2015)	102.50
Lowest Price (13 November 2015)	90.10

12 Information on Company's listed debentures

- Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 25 September 2015

	4 Year Bond		5 Year Bond	
	Price (Rs.)	Yield (%)	Price (Rs.)	Yield (%)
Buying	95.37	9.46	99.10	9.65
Selling	96.41	9.13	100.66	9.30

Market prices and yield during the year (ex interest)

	Price (Rs.)	Yield (%)
4 Year Bond	98.45	9.25
5 Year Bond	93.70	9.56

Debt to equity	1.32	times
Interest cover	1.75	times
Quick asset ratio	0.74	times

13 Early Adoption of Amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants)

Pursuant to the amendments on Agriculture: Bearer Plants (Amendments to LKAS 16 and LKAS 41), issued in March 2015 by The Institute of Chartered Accountants of Sri Lanka amended paragraphs 3, 6 and 37, added paragraphs 22A and 81L–81M of LKAS 16, amended paragraphs 1–5, 8, 24 and 44, added paragraphs 5A–5C and 63 of LKAS 41. An entity shall apply those amendments for annual periods beginning on or after 1 January 2016 and permitted early adoption. Consequently the Group has decided to early adopt the said amendments and chose to change its existing accounting policies on Bearer Plants under Historical Cost Model in compliance with the LKAS 16.

The impact on the early adoption to the group financial statements explained below;

Effect on Total Comprehensive Income

	Group					
	For the Quarter Ended 31-Dec-14			For the Nine Months Ended 31-Dec-14		
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
	As Previously Reported	Re-measurement	As Per Amendments	As Previously Reported	Re-measurement	As Per Amendments
Gross income	**11,774,602**	**-**	**11,774,602**	**31,081,851**	**-**	**31,081,851**
Interest expenses	7,901,399	-	7,901,399	20,029,802	-	20,029,802
Interest expenses	(2,923,589)	-	(2,923,589)	(9,077,605)	-	(9,077,605)
Net interest income	**4,977,810**	**-**	**4,977,810**	**10,952,197**	**-**	**10,952,197**
Revenue	2,928,167	-	2,928,167	7,733,698	-	7,733,698
Cost of sales	(2,004,297)	-	(2,004,297)	(5,394,778)	-	(5,394,778)
Gross profit	**923,870**	**-**	**923,870**	**2,338,920**	**-**	**2,338,920**
Income	945,036	-	945,036	3,318,351	-	3,318,351
Other income/(expenses)	(857,441)	-	(857,441)	(198,887)	-	(198,887)
Profit before operating expenses	**5,989,275**	**-**	**5,989,275**	**16,410,581**	**-**	**16,410,581**
Operating expenses						
Direct expenses excluding finance costs	(691,814)	-	(691,814)	(1,890,537)	-	(1,890,537)
Personnel costs	(1,282,545)	-	(1,282,545)	(3,260,395)	-	(3,260,395)
Net impairment loss on financial assets	(749,176)	-	(749,176)	(2,427,154)	-	(2,427,154)
Depreciation and amortization	(278,678)	-	(278,678)	(725,470)	-	(725,470)
Other operating expenses	(1,061,909)	-	(1,061,909)	(3,522,770)	-	(3,522,770)
Results from operating activities	**1,925,153**	**-**	**1,925,153**	**4,584,255**	**-**	**4,584,255**
Share of profits of equity accounted investees	418,215	128,651	546,866	1,466,914	128,651	1,595,565
Profit before income tax expense	**2,343,368**	**128,651**	**2,472,019**	**6,051,169**	**128,651**	**6,179,820**
Income tax expense	(811,784)	-	(811,784)	(1,714,047)	-	(1,714,047)
Profit for the year	**1,531,584**	**128,651**	**1,660,235**	**4,337,122**	**128,651**	**4,465,773**
Profit attributable to;						
Equity holders of the Company	1,254,731	128,651	1,383,382	3,767,100	128,651	3,895,751
Non-controlling interests	276,853	-	276,853	570,022	-	570,022
	1,531,584	**128,651**	**1,660,235**	**4,337,122**	**128,651**	**4,465,773**
Basic earnings per share (Rs.)	**2.64**	**0.27**	**2.91**	**7.93**	**0.27**	**8.20**

Figures in brackets indicate deductions

Early Adoption of Amendments to LKAS 16 and LKAS 41 (Agriculture : Bearer Plants) - Contd.

Effect on Statement of Financial Position	**As at 31 Dec 2014**			**As at 31 March 2015**		
Statement of Financial Position	**Previously Reported**	**Re-measurement**	**Restated**	**Previously Reported**	**Re-measurement**	**Restated**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Assets						
Cash and cash equivalents	5,770,004	-	5,770,004	7,934,390	-	7,934,390
Trading assets - fair value through profit or loss	940,727	-	940,727	1,106,441	-	1,106,441
Investment securities	18,344,155	-	18,344,155	18,302,263	-	18,302,263
Finance lease receivables, hire	42,145,644	-	42,145,644	41,335,375	-	41,335,375
Advances and other loans	85,555,377	-	85,555,377	98,525,051	-	98,525,051
Insurance premium receivables	415,271	-	415,271	602,099	-	602,099
Inventories	1,127,780	-	1,127,780	1,833,672	-	1,833,672
Current tax assets	285,365	-	285,365	1,183,563	-	1,183,563
Trade and other current assets	9,492,463	-	9,492,463	9,103,067	-	9,103,067
Prepaid lease rentals on leasehold properties	113,256	-	113,256	342,816	-	342,816
Investment properties	7,365,363	-	7,365,363	8,807,369	-	8,807,369
Real estate stocks	-	-	-	-	-	-
Biological Assets;		-	-		-	-
Consumer biological assets	-	-	-	6,383,655	-	6,383,655
Bearer plants	-	-	-	5,803,318	(1,430,284)	4,373,034
Investments in group companies;		-	-		-	-
Subsidiary companies	-	-	-	-	-	-
Jointly controlled entities	1,714,552	(183,849)	1,530,703	-	-	-
Equity accounted investees - Associates	14,733,742	-	14,733,742	15,067,850	-	15,067,850
Deferred tax assets	387,318	-	387,318	516,785	-	516,785
Intangible assets	2,227,291	-	2,227,291	2,251,313	-	2,251,313
Property, plant and equipment	23,667,984	-	23,667,984	26,964,198	-	26,964,198
Total assets	**214,286,292**	**(183,849)**	**214,102,443**	**246,063,225**	**(1,430,284)**	**244,632,941**
Liabilities and equity						
Liabilities						
Bank overdrafts	3,418,942	-	3,418,942	6,118,548	-	6,118,548
Trading liabilities - fair value through profit or loss	304,420	-	304,420	501,490	-	501,490
Deposits liabilities	53,325,928	-	53,325,928	50,587,239	-	50,587,239
Interest bearing borrowings	93,953,149	-	93,953,149	113,113,592	-	113,113,592
Insurance provision - life	521,580	-	521,580	774,865	-	774,865
Insurance provision - general	1,339,502	-	1,339,502	1,595,644	-	1,595,644
Current tax payables	1,658,356	-	1,658,356	1,635,727	-	1,635,727
Trade and other payables	9,695,901	-	9,695,901	8,074,796	-	8,074,796
Deferred tax liabilities	2,316,258	-	2,316,258	3,404,404	(157,773)	3,246,631
Deferred income	35,847	-	35,847	470,526	147,449	617,975
Retirement benefit obligations	391,017	-	391,017	2,518,644	-	2,518,644
Total liabilities	**166,960,900**	**-**	**166,960,900**	**188,795,475**	**(10,324)**	**188,785,151**
Equity						
Stated capital (475,200,000 shares)	475,200	-	475,200	475,200	-	475,200
Reserves	5,667,199	-	5,667,199	5,304,386	-	5,304,386
Retained earnings	21,057,522	(183,849)	20,873,673	22,713,066	(84,571)	22,628,495
Equity attributable to shareholders of the Company	**27,199,921**	**(183,849)**	**27,016,072**	**28,492,652**	**(84,571)**	**28,408,081**
Non-controlling interests	20,125,471	-	20,125,471	28,775,098	(1,335,389)	27,439,709
Total equity	**47,325,392**	**(183,849)**	**47,141,543**	**57,267,750**	**(1,419,960)**	**55,847,790**
Total liabilities & equity	**214,286,292**	**(183,849)**	**214,102,443**	**246,063,225**	**(1,430,284)**	**244,632,941**

Figures in brackets indicate deductions

Lanka Orix Leasing Company PLC
Operating Segments

For the nine month period ended 31 December 2015	Financial Services	Life & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	34,388,383	2,713,650	10,487,201	795,325	4,293,007	-	(4,221,113)	**48,456,453**
Cost of sales	-	-	(7,342,374)	(253,713)	(2,267,977)	-	871	**(9,863,193)**
Net finance cost	(13,715,007)	-	(563,477)	(296,629)	(226,257)	-	1,335,093	**(13,466,277)**
Profit before operating expenses	**20,673,376**	**2,713,650**	**2,581,350**	**244,983**	**1,798,773**	**-**	**(2,885,149)**	**25,126,983**
Operating expenses	(13,088,809)	(2,854,232)	(2,208,094)	(721,913)	(1,968,279)	-	2,735,421	**(18,105,906)**
Results from operating activities	**7,584,567**	**(140,582)**	**373,256**	**(476,930)**	**(169,506)**	**-**	**(149,728)**	**7,021,077**
Share of profits of equity accounted investees	-	-	-	-	-	2,306,809	-	**2,306,809**
Profit before taxation	**7,584,567**	**(140,582)**	**373,256**	**(476,930)**	**(169,506)**	**2,306,809**	**(149,728)**	**9,327,886**
For the nine month period ended 31 December 2014								
Gross income	24,211,262	1,631,324	8,110,734	822,349	-	-	(3,024,064)	31,751,605
Cost of sales	-	-	(5,322,427)	(158,168)	-	-	85,817	(5,394,778)
Net finance cost	(9,557,449)	-	(480,859)	(387,782)	-	-	479,844	(9,946,246)
Profit before operating expenses	14,653,813	1,631,324	2,307,448	276,399	**-**	**-**	(2,458,403)	16,410,581
Operating expenses	(9,352,314)	(1,666,798)	(1,730,604)	(672,838)	-	-	1,596,228	(11,826,326)
Results from operating activities	5,301,499	(35,474)	576,844	(396,439)	-	-	(862,175)	4,584,255
Share of profits of equity accounted investees	-	-	-	-	-	1,595,565	-	1,595,565
Profit before taxation	5,301,499	(35,474)	576,844	(396,439)	-	1,595,565	(862,175)	6,179,820

For the nine month period ended 31 December 2015	Financial Services	Life & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	2,176,982	-	-	-	-	-	-	**2,176,982**
Depreciation and amortization	384,631	33,862	213,240	198,109	173,600	-	67,345	**1,070,787**
Total assets (as at 31 December 2015)	302,179,776	6,455,789	26,288,707	22,535,558	19,501,149	-	(59,547,501)	**317,413,478**
Total liabilities (as at 31 December 2015)	254,813,260	3,994,478	13,270,839	6,483,194	7,234,139	-	(30,772,098)	**255,023,812**
For the nine month period ended 31 December 2014								
Net impairment (loss) / reversal on financial assets	2,427,154	-	-	-	-	-	-	**2,427,154**
Depreciation and amortization	342,296	37,103	179,402	147,725	-	-	18,944	**725,470**
Total assets (as at 31 December 2014)	192,206,315	3,434,260	21,274,583	21,075,416	-	-	(23,888,131)	**214,102,443**
Total liabilities (as at 31 December 2014)	152,279,398	2,240,015	9,870,516	6,639,529	-	-	(4,068,558)	**166,960,900**

** - The results of plantation and hydro power segment in the comparative period (Dec 2014), are shown under equity accounted investees. This segments represents the Browns Capital Group which was an equity accounted investee (Jointly controlled entity) for Dec 2014. With the acquisition of remaining 50% of Browns Capital Group, results are consolidated to LOLC financials, thus shown under seperate segment in the current period.

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 31 December 2015 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	1,557,498	-	-	**1,557,498**	**1,557,498**	Level 1 and Level 2
Investment securities	-	-	5,892,168	17,670,301	**23,562,469**	**23,562,469**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	51,753,199	**51,753,199**	**52,291,795**	Level 3
Advances and other loans	-	-	-	145,498,706	**145,498,706**	**146,440,305**	Level 3
Total financial assets	**-**	**1,557,498**	**5,892,168**	**214,922,206**	**222,371,872**	**223,852,067**	
Trading liabilities - fair value through profit or loss	71,533	-	-	-	**71,533**	**71,533**	Level 1
Deposits liabilities	-	-	-	71,238,366	**71,238,366**	**71,665,796**	Level 3
Interest bearing borrowings	-	-	-	148,501,959	**148,501,959**	**149,392,971**	Level 3
Total financial liabilities	**71,533**	**-**	**-**	**219,740,325**	**219,811,858**	**221,130,300**	

As at 31st March 2015 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	1,106,441	-	-	**1,106,441**	**1,106,441**	Level 1 and Level 2
Investment securities	-	-	5,927,826	12,374,437	**18,302,263**	**18,340,905**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	41,335,375	**41,335,375**	**41,560,280**	Level 3
Advances and other loans	-	-	-	98,525,051	**98,525,051**	**98,629,448**	Level 3
Total financial assets	**-**	**1,106,441**	**5,927,826**	**152,234,863**	**159,269,130**	**159,637,074**	
Trading liabilities - fair value through profit or loss	501,490	-	-	-	**501,490**	**501,490**	Level 1
Deposits liabilities	-	-	-	50,587,239	**50,587,239**	**50,807,157**	Level 3
Interest bearing borrowings	-	-	-	113,113,592	**113,113,592**	**112,992,570**	Level 3
Total financial liabilities	**501,490**	**-**	**-**	**163,700,831**	**164,202,321**	**164,301,217**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 31 December 2015

Directors Name	No of shares	%
Mr. R M Nanayakkara *Chairman*	172,492,292	36.299
Mr. I C Nanayakkara *Deputy Chairman (Also Alternate Director to Mr R M Nananayakkara)*	59,895,500	12.604
Mr. W D K Jayawardena *Group Managing Director / CEO*	-	-
Ms. R L Nanayakkara	-	-
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-

Top 20 shareholders as at 31 December 2015

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	Dr. R R De Silva	7,602,599	1.600
8	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN	6,937,775	1.460
9	Mrs. I Nanayakkara	2,827,948	0.595
10	Employees Trust Fund Board	2,740,493	0.577
11	Mr. M Radhakrishnan	1,500,000	0.316
12	HSBC - Mr. R C De Silva	1,150,000	0.242
13	Mr. G G Ponnambalam	1,044,960	0.220
14	Dr. M Ponnambalam	1,044,960	0.220
15	Swasthika Mills LTD	1,006,800	0.212
16	Mrs. S N Fernando	818,440	0.172
17	Mr. S Nadesan	660,000	0.139
18	National Savings Bank	606,900	0.128
19	CONFIFI Management Services LTD	600,000	0.126
20	HSBC Intl Nom Ltd - BBH - Mathews Emerging Asia Fund	573,466	0.121
		455,125,865	**95.776**

The Public Shareholding as at 31 December 2015 was 15.50% comprising of 3,073 shareholders.